Taiwan Stock Revenue Momentum Strategy

Evolution of a Systematic Event-Driven Model

1. Data Integrity & Backtest Setup

This research utilizes a high-fidelity backtest environment covering over 11 years of Taiwan stock market history.

- Period: January 5, 2015, to March 4, 2026.
- Data Sources: TEJ (Historical Revenue), TWSE (Adjusted Pricing), and FinMind API (Verification).
- Universe: All-market Taiwan stocks, excluding low-liquidity and penny stocks.
- Costs: Standard commission (0.1425% with 75% discount) and securities tax (0.3%) included.

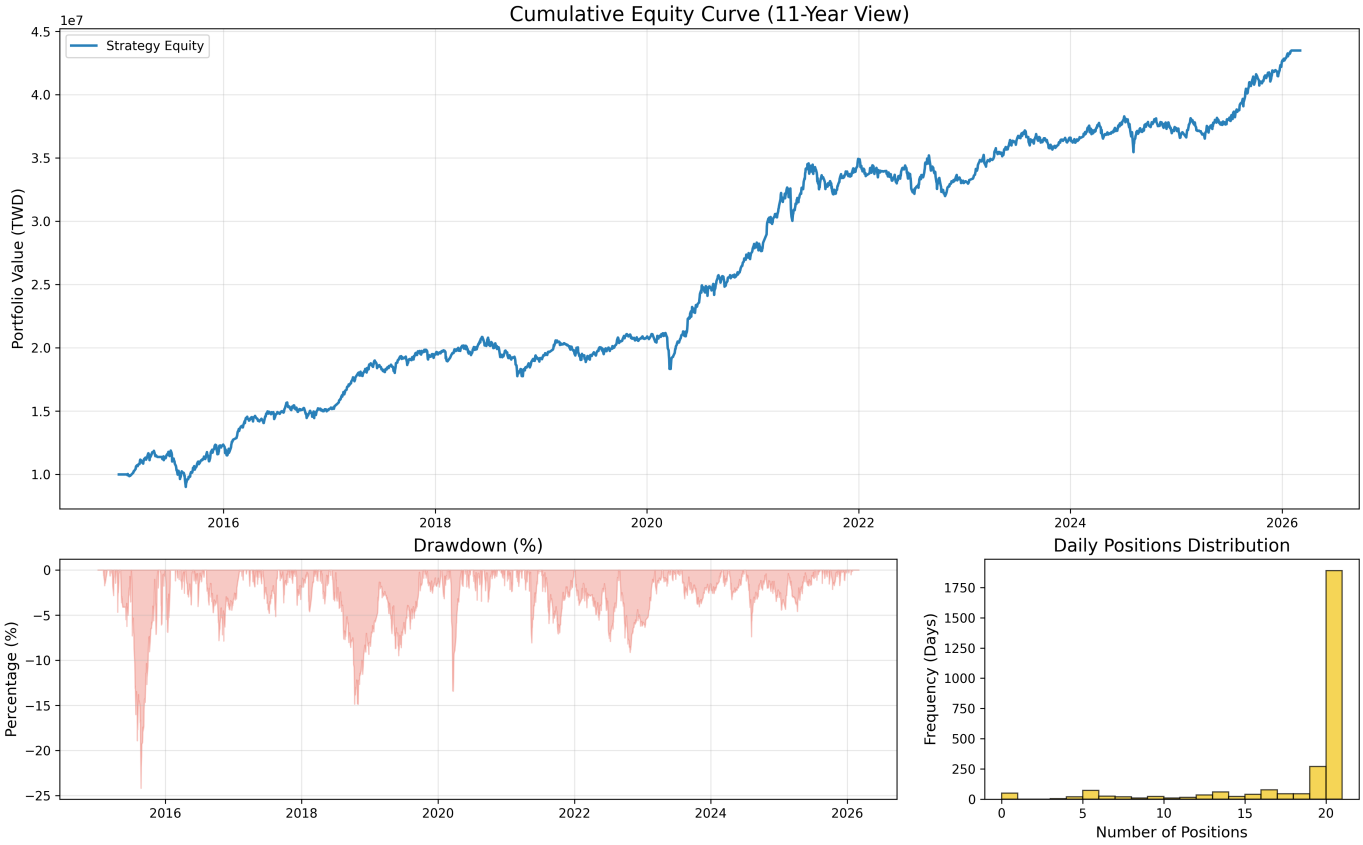
2. The Baseline Strategy (Experiment 7)

Experiment 7 established the 'Trend-Filtered Momentum' logic:

1. Buy Signal: Monthly revenue all-time high + Positive growth + Price > 20MA.
2. Holding: 60 trading days.

Performance: CAGR 14.08%, Sharpe 1.28, MDD -24.17%.

Experiment 7: Trend-Filtered Revenue Momentum Strategy
Period: 2015-01-05 to 2026-03-04
CAGR: 14.08% | Sharpe: 1.28 | Max Drawdown: -24.17%
Logic: Revenue High + 20MA Filter + High Turnover Priority



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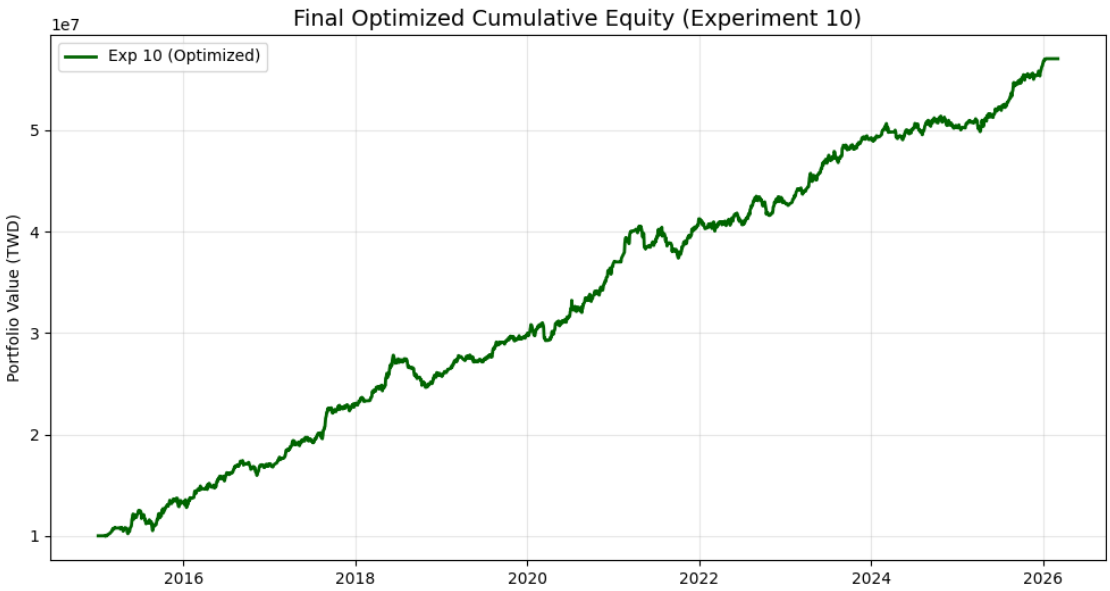
3. The Optimized Engine (Experiment 10)

Experiment 10 represents the final production-ready model after sensitivity and risk optimization:

1. Monthly Rotation: Reduced holding period to 20 days for maximum capital efficiency.
2. Conviction Filter: YoY growth threshold increased to 20% to isolate major fundamental shifts.
3. Capital Protection: -10% fixed stop-loss per position.

Final Verified Metrics (Exp 10):

- CAGR: 16.89%
- Sharpe Ratio: 1.84
- Max Drawdown (MDD): -16.02%
- Total Period Return: 470.51%



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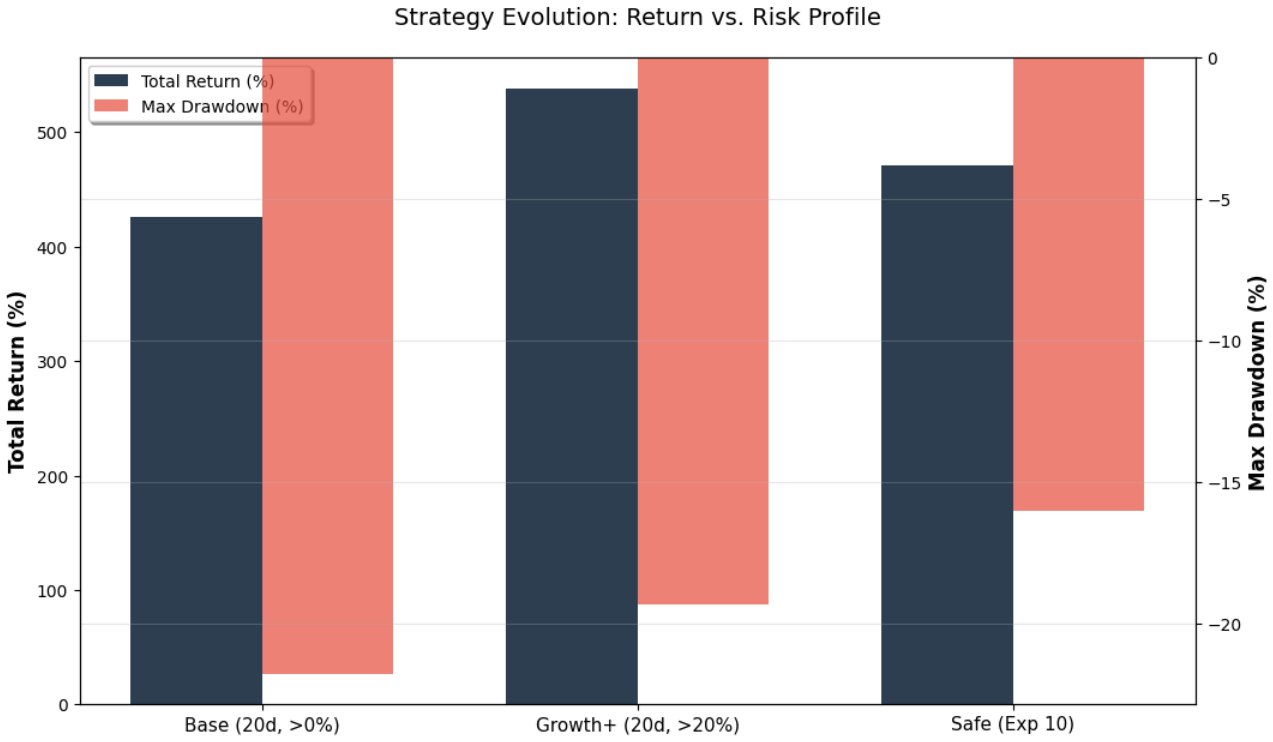
4. Performance Evolution & Conclusion

The chart below compares the evolution of return vs. risk profiles. The inclusion of the growth filter and stop-loss mechanism effectively shifted the strategy toward a higher Sharpe Ratio and reduced MDD.



Conclusion: The Revenue Momentum strategy shows robust alpha over an 11-year cycle. By prioritizing high-growth fundamental peaks and maintaining strict trend and risk filters, the strategy achieves an institutional-grade Sharpe Ratio of 1.84.